

International Commercial Arbitration

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Third Edition

By
Gary B. Born

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In some cases, arbitration agreements impose additional language requirements, such as requiring the arbitrators to speak or be fluent in another language (in addition to the language of the arbitration). The parties' decision to include these sorts of requirements in their arbitration agreement must be considered carefully, and will often be undesirable for one or both parties. Nonetheless, there is no reason that such requirements should not be given full effect if they are included in an otherwise valid arbitration agreement. Indeed, both Article II of the New York Convention and most national arbitration statutes require giving effect to contractual language requirements.

[4] Expertise and Accreditation Requirements

Unless the parties have so provided in their arbitration agreement, there is no general requirement under most national arbitration statutes that the arbitrators be experts in any particular field.⁷²⁸ It is not uncommon, however, for arbitration agreements to impose requirements that arbitrators have expertise, experience, or qualifications in specific fields.⁷²⁹ These sorts of requirements are intended to further one of the core objectives of international arbitration, being able to provide a tribunal that has particular commercial and other expertise, useful in resolving the parties' dispute efficiently and soundly.⁷³⁰

Again, these sorts of provisions should (and must) be enforced in accordance with the parties' agreement.⁷³¹ Nonetheless, national courts have generally been reluctant to overturn awards, or remove arbitrators, based on alleged noncompliance with such provisions.⁷³²

It is often preferable to draft requirements for the arbitrators' experience by reference to some objectively-verifiable standard (e.g., "a Certified Public Accountant") rather than to subjective formulae (e.g., "having material accounting experience").⁷³³ This reduces the risk of disputes, including in annulment or recognition proceedings, as to whether an arbitrator satisfies the requirements in the parties' agreement. Regardless how such requirements are drafted, parties should be alert to the practical difficulties of identifying appropriate arbitrators if their agreement imposes extensive requirements (e.g., an Uzbek national, experienced in international arbitration and telecommunications joint venture projects).

As noted above, specialized institutional arbitration rules or model clauses not infrequently impose requirements for industry experience. This is the case, for example, under some insurance and reinsurance,⁷³⁴ maritime,⁷³⁵ commodities⁷³⁶ and other rules.⁷³⁷

and Duties of ICC Arbitrators, in ICC, *The Status of the Arbitrator* 67, 73 (1995) (describing instances where ICC Court confirmed nominations of arbitrators who did not speak, or speak competently, language of arbitration).

⁷²⁸ See, e.g., *Petition of Dover S.S. Co.*, 143 F.Supp. 738, 740 (S.D.N.Y. 1956).

⁷²⁹ See G. Born, *International Arbitration and Forum Selection Agreements: Drafting and Enforcing* 88 (5th ed. 2016); P. Friedland, *Arbitration Clauses for International Contracts* 71 (2d ed. 2007).

⁷³⁰ See §1.02[B][4]; §12.01[A].

⁷³¹ See §§12.01[B]-[D]; *Rahcassi Shipping Co. SA v. Blue Star Line Ltd* [1967] 3 All ER 301 (QB) (English High Ct.); *Judgment of 29 January 2010*, 34 SchH 11/09 (Oberlandesgericht München) (lawyer cannot be appointed if agreement provides that arbitrator will be physician).

⁷³² See, e.g., *Remmey v. PaineWebber, Inc.*, 32 F.3d 143, 147-48 (4th Cir. 1994) (rejecting claims that arbitrators lacked qualifications required by arbitration agreement); *Pando Compania Naviera SA v. Filmo sas* [1975] 2 All ER 515 (QB) (English High Ct.).

⁷³³ See G. Born, *International Arbitration and Forum Selection Agreements: Drafting and Enforcing* 88 (5th ed. 2016).

⁷³⁴ See, e.g., ARIAS-U.S. Illustrative Arbitration Clause ("either present or former executive officers of insurance or reinsurance companies or arbitrators certified by ARIAS-U.S."); 2014 ARIAS-U.K. Rules, Art. 6(3); Procedures for the Resolution of U.S. Insurance and Reinsurance Disputes, Rule 6(2).

⁷³⁵ See, e.g., 1960 International Court of Arbitration for Marine and Inland Navigation at Gdynia Rules, Art.

[5] Legal Qualification Requirements

International arbitration agreements sometimes require, directly or by incorporating institutional arbitration rules, that arbitrators be qualified to practice law.⁷³⁸ Other institutional rules or arbitration agreements require that the arbitrators have specified legal or commercial experience.⁷³⁹ These sorts of requirements are almost always superfluous, because in practice parties seldom appoint non-lawyers in international commercial arbitrations. Where they exist,⁷⁴⁰ however, the New York Convention and national arbitration laws require giving effect to them.

[6] Prohibitions Against Legal Qualification

Conversely, some institutional arbitration rules preclude the selection of arbitrators who are legally qualified.⁷⁴¹ Again, there is no reason as a general matter to refuse to enforce arbitration agreements excluding the selection of legally-qualified persons as arbitrators. Although such agreements may make little sense in many cases, there is no reason parties should not be free to agree to a non-legally-qualified tribunal.

Most arbitration legislation appears to give effect to such agreements.⁷⁴² On the other hand, in particular cases, where legal issues of sufficient complexity predominate, there may

9(5) (“only such persons should be enrolled in the list of arbitrators who by their experience and their special knowledge in the field of marine and inland navigation, of insurance affairs and law are particularly suited for the office of an arbitrator”); 2017 Maritime Arbitration Association of the United States Arbitration Rules, Rule 7(g) (“All arbitrators must be approved by the MAA. Arbitrators must comply with the experience, training, educational, and other requirements established by the MAA.”); 1994 SMA Salvage Rules, Model Clause; 2013 VMAA Rules, Art. 6 (“Arbitrators shall be commercial persons and not practising lawyers, except where two arbitrators by these rules are to appoint a third, that third arbitrator may be a practising lawyer”).

⁷³⁶ See, e.g., 2017 National Grain and Feed Association Rules, §4 (“These arbitrators shall be selected from the membership [of the NGFA] with a view to forming each committee of prominent people experienced in the type of trade or transaction involved in cases to be brought before it. To qualify as an arbitrator, an individual (1) must be an employee, or active partner, principal, officer or director of a member firm eligible to arbitrate disputes under these rules; and (2) should be commercially disinterested with respect to the particular dispute intended to be presented to him for judgment.”); 2017 GTA Dispute Resolution Rules, Rules 6(1)-(2) (“(1) GTA shall maintain a list of Arbitrators approved by the GTA Board (the ‘GTA Approved Arbitrators List’) which shall be reviewed at least annually by the GTA Board. ... (2) Only those arbitrators appearing on the GTA List may sit as arbitrators in a Process governed by these Rules.”).

⁷³⁷ 1990 MIGA Rules of Arbitration for Disputes Under Contracts of Guarantee, Art. 9 (“persons of high moral character and recognized competence in the fields of law, commerce, industry or finance”).

⁷³⁸ See, e.g., *Final Award in ICC Case No. 9797*, 18 ASA Bull. 514, 517 (2000) (parties provided in arbitration agreement that “the arbitrator shall be a lawyer and shall conduct the proceedings in the English language”).

⁷³⁹ See, e.g., ICSID Convention, Art. 14(1) (“[P]ersons designated to serve on the Panels shall be persons of high moral character and recognized competence in the fields of law, commerce, industry or finance, who may be relied upon to exercise professional judgment. Competence in the field of law should be of particular importance in the case of persons on the Panel of arbitrators.”).

⁷⁴⁰ In some specialized industries, trade arbitrations have historically not involved legally-qualified arbitrators or party representatives. See §12.04[D][6]; §21.01[C].

⁷⁴¹ See, e.g., 2013 VMAA Rules, Art. 6 (“Arbitrators shall be commercial persons and not practising lawyers, except where two arbitrators by these rules are to appoint a third, that third arbitrator may be a practising lawyer”); 2018 FOSEA Rules of Arbitration and Appeal, Rule 2(b) (“No person wholly or principally engaged in legal practice shall be eligible to act as an arbitrator or umpire”).

⁷⁴² One notable historic exception was the Swiss Cantonal Concordat. See Swiss Cantonal Concordat, Art. 7 (“Any provision in an arbitration clause prohibiting the assistance of lawyers in an arbitration, whether as

be substantial arguments that a non-legally-qualified tribunal would effectively deny one (or both) parties the opportunity to be heard, notwithstanding a prior agreement to such a tribunal.⁷⁴³

[7] “Commercial Men” Requirements

Some older forms of arbitration agreements in England and other common law jurisdictions required that the arbitrators be “commercial men.”⁷⁴⁴ The requirement has been interpreted as excluding legally-trained professionals and given effect in English courts.⁷⁴⁵

Nonetheless, unless interpreted expansively, this requirement is today embarrassing and arguably invalid as contrary to public policy in many states, insofar as it purports to require a male arbitrator. The requirement is also unnecessary, because the requisite degree of commerciality is better secured through means other than a requirement that someone be “commercial.”

[8] Religion Requirements

Some religious communities use arbitral mechanisms to resolve disputes among community members, typically before an arbitrator with religious or quasi-religious status. In these instances, arbitration agreements frequently impose religion requirements, providing that the arbitrator must be of a specified religious faith or have a specified status within a particular religious community.

National courts have generally approached such provisions with caution, enforcing them but taking steps to avoid the appearance of sanctioning a particular religion,⁷⁴⁶ and retaining the right to deny recognition of awards that are contrary to public policy.⁷⁴⁷ The U.K. Supreme Court recently upheld an arbitration clause requiring that the arbitrators be “respected members of the Ismaili community and holder of high office within the community,” rejecting an

arbitrators, secretaries or representatives of the parties, shall be void”) (repealed). The Concordat’s prohibition against agreements excluding non-lawyers was not preserved in either the Swiss Law on Private International Law, or in the new Swiss Code of Civil Procedure (as to domestic arbitration).

⁷⁴³ *Judgment of 10 October 1991*, XIX Y.B. Comm. Arb. 200 (German Bundesgerichtshof) (1994) (arbitration clause in general terms and conditions invalid because it would have led to appointment of non-lawyer who supposedly could not consider enforceability challenges to those terms and conditions).

⁷⁴⁴ *See France v. Tsurushima Maru (Owners)* [1921] 37 TLR 961 (English Ct. App.).

⁷⁴⁵ *Pando Compania Naviera SA v. Filmo SAS* [1975] 2 All ER 515 (QB) (English High Ct.).

⁷⁴⁶ *See, e.g., Berg v. Berg*, 85 A.D.3d 950, 951-52 (N.Y. App. Div. 2011) (partially enforcing award issued by Beth Din tribunal of three rabbis); *Dial 800 v. Fesbinder*, 118 Cal.App.4th 32, 47 (Cal. Ct. App. 2004) (results of “beth din” proceedings before Jewish Rabbis applying Jewish law enforced like other awards); *In re Ismail-off*, 836 N.Y.S.2d 493, at *2 (N.Y. Surrogate’s Ct. 2007) (clause providing that arbitrators be “persons of the Orthodox Jewish faith” was unenforceable because U.S. Constitution’s Establishment Clause forbids court from determining who was of Orthodox Jewish faith; instead directing each party to appoint one arbitrator and AAA to select presiding arbitrator).

⁷⁴⁷ *Soleiman v. Soleimany* [1999] QB 785 (English Ct. App.) (refusing to enforce on public policy grounds a “Beth Din” award that ignored as irrelevant under Jewish law a contract’s illegality under Iranian tax and export law). English courts have otherwise generally upheld awards decided by faith-based tribunals applying religious law. *See Bhatti v. Bhatti* [2009] EWHC 3506 (Ch) (English High Ct.) (upholding award of Qadha Board, a quasi judicial body of Muslim Ahmadiyya community); *Musawi v. R.E. Int’l (U.K.) Ltd* [2007] EWHC 2981 (Ch) (English High Ct.) (English Arbitration Act permitted parties to appoint ayatollah arbitrator to apply Shari’a law to real estate dispute). *But see Virdee v. Virdi* [2003] EWCA Civ 41 (English Ct. App.) (even though prior related arbitration had been conducted by arbitrators of Sikh faith, court refused to require that arbitrators in second arbitration be of Sikh faith because there was no clear agreement so requiring).